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Out-of-State Donors and Nationalized Politics in U.S. Senate Elections

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Abstract: During the last several elections, numerous high-profile candidates for the U.S. Senate have raised a majority of their campaign funds from donors who reside in a different state. These efforts have garnered substantial media coverage and have been fodder for attacks by the candidate’s opponents. Despite the increased attention to the role of out-of-state donors, it is not clear if these cases are outliers or if this is now common practice in our more nationalized electoral environment. In this paper, we examine trends in Senate candidate’s fundraising from out-of-state donors between 2000 and 2020. We find that there has been a general increase over time in Senate candidates’ reliance on out-of-state donations. There is, however, variation in terms of who relies heavily upon the support of a more national donor base. A Senate candidate’s share of out-of-state donations varies with factors like incumbency, electoral competition, and geography.

Keywords: U.S. Congress, U.S. Senate, congressional elections, campaign finance

During the 2018 midterm elections, Felix J. Boccadoro joined the ranks of political donors who made campaign contributions to candidates with whom they have no immediate electoral relationship. The decision was a notable change as Boccadoro indicated that he had “never really made contributions in the past without actually seeing the member at the fundraiser,” but changed his mind because he “was a little frustrated one day and said, ‘You know, I could afford to make a few donations.’ So, I donated to those two folks particularly because of who they’re competing against.”¹ Boccadoro’s sentiment is one that had been clearly echoed by others during the 2018 midterm elections. In that electoral season, Senate Democratic candidates received 60 percent of their funds from states other

1 Kasperkevic, Jana. “When it comes to out-of-state donations, Democrats take the lead in the 2018 midterms.” *Marketplace*, November 5, 2018. <https://www.marketplace.org/2018/11/05/midterms-out-state-donations-rockstar-candidates/>.

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than their own, while Senate Republican candidates received 49 percent of their donations from out-of-state.²

Boccardoro's choice to donate to candidates with whom he does not have an electoral connection speaks to a growing sentiment among other donors in recent years. Although we know why donors choose to donate, the demographics of these donors, and what may motivate out-of-state donors specifically (Ansolabehere, De Figueiredo, and Snyder 2003; Baker 2020; Barber, Canes-Wrone, and Thrower 2017; Culberson, McDonald, and Robbins 2019), we know comparatively little about the apparent increase in funds from out-of-state donors in Senate races. Most of what we know comes from either media coverage of specific races or the back-and-forth between candidates as they accuse one another of being beholden to out-of-state interests.

Our paper seeks to fill the gap in our understanding through an analysis of trends in Senate candidate's fundraising from out-of-state donors between 2000 and 2020. With these data, we can assess whether media reports on the importance of out-of-state donors are picking up on outliers or if this reflects the new normal for Senate contests. Furthermore, Senate contests are not the only ones where out-of-state donors have shown increased interest as both state-level contests and local elections, like school boards (Reckhow et al. 2017), have attracted the attention of national political donors.³ It therefore behooves scholars of American electoral and campaign politics to document and investigate any growth or changes in candidates' reliance upon political funds from outside their immediate electoral constituency. Based on an analysis of Senate candidates in general election contests between 2000 and 2020, we find evidence of a general increase over time in Senate candidates' acceptance of out-of-state donations. There is, however, variation in terms of who relies heavily upon the support of a more national donor base. A Senate candidate's share of out-of-state donations varies with factors like incumbency, electoral competition, and geography.

The remainder of our paper proceeds as follows. We first discuss the more nationalized political environment that characterizes the 21st-century Senate. In doing so, we outline how past scholarship has studied the Senate's nationalized electoral politics and how political donations fit into and add to our scholarly understanding of this phenomenon. We then provide a preliminary look at recent

² "Blue wave of money propels 2018 election to record-breaking \$5.2 billion in spending". Open Secrets. October 29, 2018. <https://www.opensecrets.org/news/2018/10/2018-midterm-record-breaking-5-2-billion/>.

³ Salzer, James. "Governors race cash mostly from outside state." *Atlanta Journal-Constitution* October 17, 2022. Joseph, George. "Socialist Podcaster's NY State Senate Bid Relies on Out-of-State Donations." *The City* July 20, 2022 <https://www.thecity.nyc/2022/7/20/23272226/nomiki-konsts-ny-state-senate-bid-relies-on-out-of-state-donations>

trends in out-of-state donations, with a particular focus on differences across candidates and electoral competition. Next, we explore the geographic patterns with respect to Senate candidates' reliance upon out-of-state donors. We then conclude with a discussion about the implications of our results and what it means for Senate elections moving forward.

1 Nationalized Politics and the 21st Century Senate

For several decades, Congress scholars and observers understood congressional politics to be governed by the preponderance of local politics over national politics. Whether they were studying roll call voting, bill introduction, or even committee politics, past research found evidence that local politics—such as constituent interests or district characteristics—influenced legislative behavior (Fenno 1977; Schiller 2000). The same held true in the electoral arena as incumbency and candidate attributes were key determinants of election outcomes (Cox and Katz 1996; Jacobson 1989). In the Congress of the early 21st century, however, national politics routinely trumps local considerations (Carson, Sievert, and Williamson 2023). These developments have been especially notable in the Senate, where partisan interests and agendas have become more central even though each individual senator has significant discretion to influence the agenda (Lee 2016). Senate elections are now also more partisan in nature, which has resulted in a diminished incumbency advantage (Sievert and McKee 2019). Individual-level vote choice and candidate evaluations are also more reliably partisan and stable (Sievert and Williamson 2022).

What accounts for the rise of more nationalized politics in Congress? According to Hopkins (2018), there are two pathways through which electoral and issue conflict in Congress can become more nationalized. The first relates to voter engagement with and knowledge about politics. Our politics become more nationalized when voters are more knowledgeable about or focused on national political conflict rather than local politics. These changes can be driven by the information environment, which is primarily a product of media and communications technology (Darr, Hitt, and Dunaway 2018; Moskowitz 2021). The second pathway relates to the decision-making and behavior of individual voters. Nationalization occurs when political behavior comes to depend more on national factors rather than local context. When considering this dimension, nationalized politics means that factors like presidential politics or partisanship play a greater role in shaping vote choice and political evaluations (Carson, Sievert, and

Williamson 2023). As a result, the electoral returns of incumbency have declined (Carson, Sievert, and Williamson 2020), and voters are more likely to support candidates from the same party in both presidential and Senate elections (Sievert and McKee 2019). In sum, the relative weight of national and local politics is central to our understanding of how Americans understand and engage with politics.

While electoral and congressional scholars have explored these two dimensions of nationalized politics separately, we believe campaign finance can be a fruitful way to understand the intersection of both the informational and behavioral components of nationalization. First, political donors are not limited to only supporting candidates with whom they have an immediate electoral relationship. Indeed, the political geography of campaign donations is highly nationalized as large shares of campaign donations for both parties come from the same areas (Gimpel, Lee, and Kaminski 2006). As a result, the areas from which money flows are, geographically speaking, relatively similar for both Republicans and Democrats (Gimpel, Lee, and Pearson-Merkowitz 2008). By contrast, the jurisdictions into which money flows do not necessarily overlap geographically as it is typically the competitiveness of races that attracts outside donors (Gimpel, Lee, and Pearson-Merkowitz 2008). The Senate may be governed by a slightly different dynamic, however, as state population is correlated with candidates' reliance upon in-state or out-of-state donors (Keena 2019). In short, there is a large class of donors who are highly engaged with national politics, and we expect more nationalized politics to result in more donations flowing across state lines.

Second, political donations are an important form of political behavior and provide another behavioral metric through which scholars can chronicle more nationalized politics. Individuals are the most important source of campaign funds, even beyond PAC contributions (Ansolabehere, De Figueiredo, and Snyder 2003). Donors are sophisticated in choosing who they donate to (Barber, Canes-Wrone, and Thrower 2017) and are motivated by the closeness of electoral competition, their individual income, and the ideological positions of candidates (Ansolabehere, De Figueiredo, and Snyder 2003; Mutz 1995). Regarding candidates' ideological positions, candidates who are more ideologically extreme benefit the most from their positions (Ensley 2009; Culbertson, McDonald, and Robbins 2019). Out-of-state donors specifically are motivated by increasing their representation or substituting their representation, creating a surrogate relationship, often motivated by ideology and mismatched direct representation (Baker 2020; Culbertson, McDonald, and Robbins 2019). Increasingly, this means that members of Congress are more responsive to the national donor base in their roll call voting behavior as individuals are impacted by policymaking (Barber 2016; Canes-Wrone and Miller 2022). While past scholarship has documented more nationalized political behavior

with respect to vote choice, there are ample reasons to expect a similar pattern in other important forms of behavior, such as political donations.

2 Recent Trends in Out-of-State Donations

Our primary interest in this paper is to document trends in out-of-state donations in Senate elections during the more nationalized politics of the early 21st century. To accomplish this, we need a measure that captures the extent to which Senate campaigns are funded by and reliant upon money from outside of their respective states. One common and straightforward way to operationalize this concept is to calculate the share of a candidate's donations that originated from outside of an elected official's geographic constituency (Fourinaies and Hall 2014; Reckhow et al. 2017). For our purposes, a Senate campaign's share of out-of-state donations can be easily calculated from the Federal Election Commission's (FEC) data on campaign contributions. However, one limitation to these data is that donor information is only publicly disclosed once an individual has contributed \$200 cumulatively to a campaign during an election cycle, which means we cannot explore the full population of donors (see Culbertson, Robbins, and Robbins 2019). For those who meet this threshold, however, the FEC requires candidates to report information on the donor's residency and occupation. The residency information is of key interest here, as it allows for a comparison of the amount of money a campaign received from donors who both reside in and outside of the candidate's state.

In the analysis that follows, we utilize data provided by *OpenSecrets* on the percentage of money a campaign raised from out-of-state donors. For each Senate candidate from 2000 to 2020, *OpenSecrets* utilized the FEC database to calculate the total amount of itemized contributions a candidate received from donors in and out of her state.⁴ We then used these totals to calculate the share of out-of-state donations a candidate received. For example, if a candidate raised \$4 million from donors in her home state and \$6 million dollars from donors who reside in another state, the candidate's share of out-of-state donations would be 60 percent.

From these data, we recorded the share of out-of-state donors for each of the top two candidates in all Senate elections contested from 2000 to 2020.⁵ As an initial exploration of the data, we examine year-to-year changes in the prevalence of out-of-

4 The information on in-and out-of-state donations can be found under the "Geography" section of *OpenSecret's* election profile of each race.

5 There are two conditions under which we exclude a candidate from our analysis. First, we set a minimum fundraising threshold of \$100,00 for inclusion in the analysis to ensure that we are only considering serious candidates (Maestas and Rugeley 2008). Second, we do not include special elections.

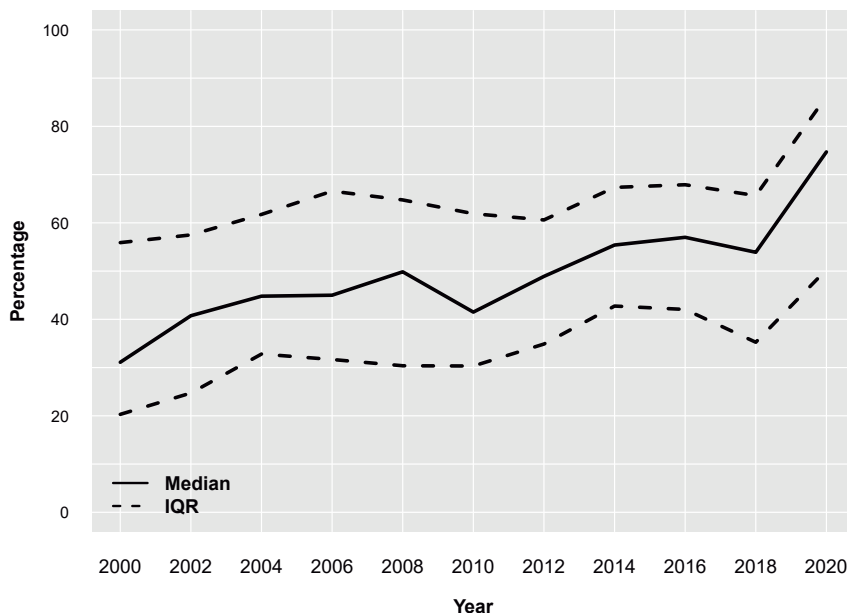


Figure 1: Share of out-of-state donations, 2000–2020. Note: The solid black line reports the median value for the share of out-of-state donations in each election year while the dashed line reports the first and third quartile for this measure.

state donations, which we report in Figure 1. During the 2000 election, the median candidate raised only a mere 31.1 percent of her campaign funds from out-of-state donations. There is reasonable variation, though, in candidates' reliance on out-of-state donors, as the interquartile range runs from 20.3 to 55.9 percent. Although there is a near-monotonic increase in candidates' reliance on out-of-state donors throughout the rest of this period, these increases do appear to come in stages. From 2002 to 2012, the median Senate candidate received between 41 and 50 percent of her campaign donations from donors outside of her own state, with the spread in this measure ranging between 30 and 60 percent in most years. Over the next three elections, 2014 to 2018, this figure increased to around 55 percent while the end points of the interquartile range held relatively steady at 42 and 67 percent respectively.

While Figure 1 indicates that Senate candidates' reliance on out-of-state donors increased throughout the 21st century, the 2020 election saw a notable shift in donations from outside Senate candidates' geographic districts. In 2020, the median Senate candidate received almost three-quarters of her campaign donations from out-of-state. Notably, the first quartile of this measure was above 50 percent for the first time. Substantively, this means that in 2020 it was commonplace for a Senate

candidate to raise more money from outside of her state than from within her state. Although Senate candidates have become steadily more reliant upon out-of-state political donations, it is only within the last few election cycles that most candidates raised the majority of their funds from outside of their state.

In addition to the trends evidenced in Figure 1, it is important to consider whether these patterns hold across candidate type and over different levels of electoral competition. Since there are a limited number of Senate candidates for a single election year, it is necessary to pool across election years to ensure a sufficient number of observations. We therefore group election years by the Senate electoral cycle so that each Senate class is represented. For example, Class 1 senators were up for election in 2000 with Classes 2 and 3 following in 2002 and 2004. These three elections then make up our first time with each subsequent group including the next three elections, which gives us four Senate electoral cycles to examine. Since we did not have access to the final 2022 campaign finance data at the time this analysis was conducted, our final time period only includes the 2018 and 2020 elections.

We calculated the median share of out-of-state donations by candidate type and race status, which are reported in Table 1, for each of these four electoral cycles. The first three rows of Table 1 report the share of out-of-state donations for the median senator by candidate status across the four Senate electoral cycles from 2000 to 2020. The first notable finding is that incumbent candidates have had comparatively little change in their reliance on out-of-state donors. During the first electoral cycle (2000–2004), the median senator received more than half of her donations from outside of her home state and this figure changed little across the next two time periods. By the 2018 and 2020 elections, there was an increase and the median senator received around 64 percent of her donations from out-of-state.

The next two rows of Table 1 suggests that the trends in Figure 1 were driven largely by challengers and candidates in open seat races. From 2000 to 2010, the

Table 1: Share of out-of-state donations by candidate and race status.

	Senate electoral cycle			
	2000–2004	2006–2010	2012–2016	2018–2020
Incumbent	52.1	54.3	54.8	63.9
Challenger	31.1	36.2	50.1	52.2
Open seat	34.3	44.1	40.5	64.6
Winner	45.3	52.8	56.9	62.3
Loser	33.9	36.2	48.8	55.8
Competitive	—	46.3	55.9	74.0
Non-competitive	—	42.9	49.9	53.6

Note: Cell entries are the median value of shared of out-of-state donations for each candidate type or race status.

median challenger in a Senate contest raised around one-third of her campaign funds from outside of the state. By the 2012 to 2016 Senate electoral cycles, however, this figure increased to just over 50 percent, and it held steady at 52 percent during the last two elections. For candidates in open seat races, the over-time changes were not as consistent. In the first period, the median candidate in an open seat contest raised about one-third of her donations from outside of the state and this increased by 10 points during the next electoral cycle. There was a marginal downturn after this as the median open seat candidate received roughly 40 percent of her donations from outside of her state. Over the last two elections, this figure increased substantially as the median open seat candidate raised almost 65 percent of her campaign funds from donors outside of her state.

The next two rows of Table 1 report the share of out-of-state donations based on whether the candidate won or lost the race. The median winning candidate raised more money from out-of-state donations in each cycle than did her opponent, but the size of this gap has varied across time. During the elections from 2000 to 2004, the median winning candidate raised 45 percent of her funds from outside donors while the losing candidate raised approximately one-third of her donations from individuals who resided outside of her state. Between 2006 and 2010, the gap between winners and losers grew to over 16 percentage points, with the median share of out-of-state donations reaching 52.8 and 36.2 percent, respectively. In the last two election cycles, though, the difference dropped in half and is now around 7 percentage points. Overall, the trends are similar to those observed for candidacy status. While both the winning and losing candidates have become more reliant upon out-of-state donors, the change over time is higher for losing candidates (a 22-point increase between 2000–2004 and 2018–2020) compared to winners (a 17-point increase over the same period).

In the final two rows of Table 1, we report the share of out-of-state donations by level of electoral competition. While electoral competition can be operationalized in many different ways, we contend that campaign “intensity” as a good proxy for competition. Past studies use pre-election expert evaluations to capture competition (Sievert and Williamson 2022; Westlye 1991). For this analysis, we used the final race ratings from the Center for Politics at the University of Virginia to create our measure of competition.⁶ Races that were rated as toss-up or “leaning” towards one party were coded as competitive, while races that were rated as “likely” or “safe” were coded as non-competitive. Since these race ratings are first available in 2004, we only report the relationship between competition and out-of-state donations for Senate elections from 2006.

⁶ An archived version of the race ratings can be accessed via the Center for Politics website, <https://centerforpolitics.org/crystalball/>.

From 2006 through 2010, there was relatively little difference between competitive and non-competitive election. The median Senate candidate in a competitive race raised 46.3 percent of her donations from outside donors, compared to 42.9 percent for the median candidate in a non-competitive race. Across the next two time periods, the gap between competitive and non-competitive races grew quite a bit. Between 2012 and 2016, the median Senate candidate in a non-competitive election raised about half of her campaign funds from outside her state, which is 6 percentage points lower than the median candidate in a competitive election. In the 2018 and 2020 elections, the difference between competitive and non-competitive elections more than tripled to over 20 percentage points. One clear implication of the observed trends with respect to electoral competition is that the recent increase in the importance of out-of-state donations is a result of these donors pooling their resources in the most competitive contests.

Taken together, Figure 1 and Table 1 tell a clear story about the role of outside donations in the 21st century Senate. While there has been a general upward trend in campaign funds from out-of-state donors, it is only within the last few years that it has become ubiquitous. Not surprisingly, these trends are correlated with factors like candidate status and electoral competition. The fact that the share of out-of-state donations has increased the most in open seat and electorally competitive races suggest that donors are cueing on expected competition when deciding to support a Senate candidate in another state.

3 State-Level Differences in Out-of-State Donations

Based on prior research, there should be considerable variation across the states with respect to the prevalence of out-of-state donors. These state-level differences may be the result of factors like state population (Keena 2019) or the nature of states' donor networks (Gimpel, Lee, and Kaminski 2006). As an initial exploration of state-level differences, we calculated the median share of out-of-state donors by state for each Senate electoral cycle. In Figure 2, we report the state-level median for elections from 2000 to 2004 (left panel) and for those contested between 2012 and 2016 (right panel), which represent the earliest and most recent Senate cycles for which we have data for two Senate elections per state.⁷

⁷ It is important that we have a full Senate cycle so that we are calculating the media from at least two races instead of one Senate contest.

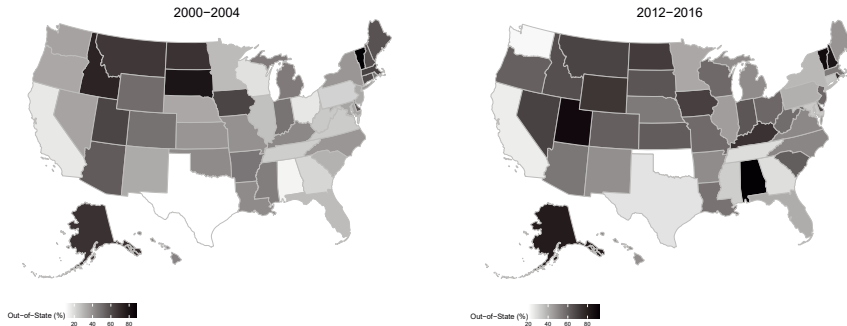


Figure 2: Median share of out-of-state donors by state and senate electoral cycle. Note: The state-level value is the median share of out-of-state donations among the senate candidates in a given electoral cycle.

There are several interesting patterns to note in Figure 2. First, there was an increase in the share of out-of-state donations in 38 of the 50 states, with the median shift a roughly 12-point increase. Of the 12 remaining states, there were four—Arizona, Maryland, New York, and Vermont—where the difference was around a single percentage point. The stability in New York Senate candidates' reliance upon outside donors is not surprising when we consider that the state is one of the most important sources of campaign funds for federal candidates in both parties (Gimpel, Lee, and Kaminski 2006). Although these state-level trends are largely consistent with more nationalized electoral politics, a high share of out-of-state donors is not in and of itself sufficient evidence. For example, Vermont was among the top 3 states in both periods. During the 2000 to 2004 elections, the median Senate candidate in Vermont raised 87.9 percent of her funds from outside the state and this figure held steady at 87.2 percent for elections between 2012 and 2016.

Second, there are potential regional patterns to these state-level data. As suggested by the earlier discussion about Vermont, Senate candidates in New England were often far more reliant upon outside donors.⁸ For elections between 2000 and 2004, three of the top ten states were located in New England—Vermont (87.98 percent), Massachusetts (63.3 percent), and Connecticut (60.5 percent)—with New Hampshire (59.5 percent) and Maine (58.2 percent) ranked eleventh and twelfth, respectively. During the 2012 to 2016 Senate electoral cycle, Vermont was ranked third while New Hampshire (83.2 percent) and Rhode Island (73.5), which experienced substantial increases in the share of out-of-state donors, were right

⁸ We define New England as including the following states: Connecticut, Maine, Massachusetts, New Hampshire, Rhode Island, and Vermont.

behind Vermont at fourth and sixth. The Mountain West was another region of the country where Senate candidates were more reliant upon out-of-state donors.⁹ From 2000 to 2004, western states accounted for three of the top 10 states—Idaho (73 percent), Montana (66.4 percent), and Utah (62 percent)—with Arizona (55.6 percent) and Wyoming (50.1 percent) rounding out the top 15. With the general upward trend in out-of-state donors, the Mountain West only had two states—Utah (87.8 percent) and Wyoming (72.7 percent)—ranked in the top 10 in the most recent period. Three other western states were among the top 15—Nevada (68.8 percent), Montana (68.4 percent), and Idaho (64.9 percent).

Third, and related to the regional patterns noted above, there appears to be a relationship between state population and the share of out-of-state donors (Keena 2019). For elections held between 2000 and 2004, the correlation between state population and the median share of out-of-state donations is -0.57 . The upward trend in out-of-state donations evident throughout our analysis did little to alter this relationship. During the Senate electoral cycles between 2012 and 2016, the correlation between state population and out-of-state donations was -0.53 . If we use a state's population rank instead of the raw population, however, we do find a marginally larger difference across the two periods. The correlation between state population rank and out-of-state donations is 0.69 for the elections between 2000 and 2004, but a slightly more modest 0.58 for contests between 2012 and 2016. Regardless of how we define population, out-of-state donations are, on average, more common and critical to the financial health of Senate candidates in smaller states.

Lastly, the states who typically provide the most campaign funds to candidates from both parties—California, Florida, Illinois, New York, Texas, and Virginia—still saw an increase in out-of-state donations. Virginia experienced the largest increase, with the median Senate candidate's share of out-of-state donations increasing from 24.6 to 50 percent. Three of these states—Florida, Illinois, and Pennsylvania—saw between a 12 and 17 percentage point increase in the share of donations from outside of their states as the median figure rose to around 40 percent in each state. By the 2012 to 2016 elections, the Senate candidates in California and Texas received only a quarter of their donations from outside of their respective states. While this was a roughly 8 percentage point increase for Senate candidates in California, it was a more sizable 16 percentage point shift for candidates in Texas. Even the states that have historically been the largest exporters of campaign funds have not escaped the trends observed in Figure 1 and now see more donations flow in from out-of-state to their Senate candidates.

⁹ The Mountain West includes the following states: Arizona, Colorado, Idaho, Montana, Nevada, New Mexico, Utah, and Wyoming.

3.1 Financial Bases of Support

While Figure 2 provides helpful insights about state-level differences, it only includes two of the four time periods in our dataset. In the remainder of this section, we examine the fundraising histories for a number of senators who contested elections in each of the four electoral cycles in our study. The first set of candidates are from states that make up the financial bases of support for both parties: John Cornyn (R-TX), Dianne Feinstein (D-CA), and Bill Nelson (D-FL). The second group of candidates hail from New England: Susan Collins (R-ME), Jeanne Shaheen (D-NH), and Jack Reed (D-RI).

In Table 2, we report the share of out-of-state donations for each of the three senators under consideration in this section and their respective opponents for their four electoral contests between 2000 and 2020. The first few columns of Table 2 report Senator John Cornyn’s share of out-of-state donations for his elections between 2002 and 2020. Over the last four election cycles, this represents a 23 percent increase in out-of-state donations. In 2002, Cornyn, who was then the Texas Attorney General, ran for the open Texas Senate seat formerly held by Phil Gramm (R-TX). The 2002 contest pitting Cornyn against former Dallas Mayor Ron Kirk (D) was viewed as competitive by the national media.¹⁰ Kirk amassed 24.2 percent of his donations from outside Texas, compared to Cornyn’s 10.4 percent. Although Cornyn’s next two electoral contests, 2008 and 2014, were not competitive, he raised more money from outside of Texas in each contest, 12 and 24 percent respectively.¹¹ Not surprisingly,

Table 2: Share of out-of-state donations for senators, financial bases of support.

John Cornyn (TX)			Diane Feinstein (CA)			Bill Nelson (FL)		
Year	Own	Opponent	Year	Own	Opponent	Year	Own	Opponent
2002	10.4	24.2	2000	16.9	17.1	2000	23.9	18.0
2008	12.1	6.4	2006	20.4	13.4	2006	36.6	29.2
2014	26.8	8.8	2012	21.8	21.7	2012	33.8	35.7
2020	33.4	64.5	2018	27.3	7.4	2018	53.1	31.3

Note: Cell entries report the share of out-of-state donations for each senator by election year.

¹⁰ Yardley, Jim. “Texas: Passing the Torch in Bush Country.” *New York Times*, November 6, 2002. <https://www.nytimes.com/2002/11/06/us/the-2002-elections-the-senate-texas-passing-the-torch-in-bush-country.html>https://web.archive.org/web/20021118115505/http://www.centerforpolitics.org/crystalball/senate_all.htm.

¹¹ Sabato, Larry. “The Last, Last Word: The Crystal Ball’s Final Projections for the 2008 Election.” *University of Virginia Center for Politics*, November 3, 2008. <https://centerforpolitics.org/crystalball/articles/ljs2008110301/>.

the lack of electoral competition meant that Cornyn's opponents had little success attracting financial support from out-of-state donors.

In 2020, however, Cornyn's race against Democrat Mary "MJ" Hegar was expected to be more competitive than his previous re-election bids and this was reflected in the share of out-of-state donations. Hegar received nearly 65 percent of her donations from outside of Texas, compared to around 33 percent for Cornyn. During his victory speech, Cornyn acknowledged the influx of out-of-state money and claimed that Democratic donors "had more money than they knew what to do with, so they ended up investing in a long shot in places like Texas."¹² Overall, we see that John Cornyn's (R-TX) out-of-state donations have trended upwards and that this was not necessarily driven by electoral competition. In contrast, Cornyn's opponents were better able to marshal funds from outside of Texas when the contest was expected to be close.

The next three columns in Table 2 provide information on Senator Dianne Feinstein's share of out-of-state donations in her re-election contests between 2000 and 2018. In 2000, Feinstein sought her third Senate term against a Republican opponent, Tom Campbell, who lagged behind her in both polls and campaign fundraising.¹³ Even though Feinstein raised more campaign funds than Campbell, they each raised roughly 17 percent from out-of-state donors. Although Feinstein's next two electoral contests—2006 and 2012—were landslide victories, she raised a slightly larger share of money from donors outside of California. The 2012 election was the only one of the two in which her opponent, Republican Elizabeth Emken, raised a comparable amount of money from donors outside of the state. In 2018, California's newly implemented top-two primary resulted in Feinstein running against fellow Democrat Kevin de Leon. While Feinstein's share of out-of-state donations rose to 27.3 percent, de Leon raised only 7 percent of his funds from out-of-state donors. Overall, Feinstein saw a marginal increase in her share of out-of-state donors that was unrelated to electoral competition. Interestingly, at least two of Feinstein's competitors were able to attract a similar share of out-of-state donations even though they were electoral long shots. Their ability to raise funds from outside of California may be indicative of some donors being motivated to spend against a certain candidate rather than just in support of their opponent.

The final columns of Table 2 provide information on Senator Bill Nelson's (D) share of out-of-state donations for his elections between 2000 and 2018. The 2000 Florida Senate race was an open seat contest between Nelson, the state treasurer,

¹² <https://www.texastribune.org/2020/11/03/john-cornyn-mj-hegar-texas-senate/>.

¹³ Nieves, Evelyn. "GOP Long Shot Offers a Touch of the Radical." *New York Times*, August 24, 2000. <https://www.nytimes.com/2000/08/24/us/2000-campaign-california-senate-race-gop-long-shot-offers-touch-radical.html>.

and Republican U.S. representative Bill McCollum. In this highly competitive contest, both Nelson and McCollum received a small portion of their donations from outside of Florida, approximately 24 and 18 percent respectively.¹⁴ In 2006, Nelson ran against then U.S. representative Katherine Harris (R), who had difficulty raising funds and was not supported by Republican Party elites.¹⁵ Despite the contest being projected as a likely Democratic hold, Nelson raised more money from out-of-state donors, almost 37 percent, than in his previous contests while Harris received almost 30 percent of her funds from donors outside of Florida.¹⁶ Nelson's run for a third term in 2012 was also projected to be a likely Democratic hold and both Nelson and his Republican opponent, U.S. representative Connie Mack IV, raised around one-third of their campaign funds from out-of-state donors.¹⁷ In the 2018 election, Nelson found himself in a competitive contest against Florida governor Rick Scott (R). For the first time in his Senate electoral career, Nelson raised over half of his campaign funds from out-of-state donors. Interestingly, Scott was no more reliant upon donors from outside of Florida than were Nelson's opponents in his last two re-election bids, which could be a function of Scott's status as the incumbent governor.

When taken together, these three cases studies provide two important take-aways. First, some states, like California, have seen little change in the in-flow of out-of-state donations. While it is beyond the scope of our current discussion, we suspect that this pattern reflects both the low levels of two-party competition in the state and the state's centrality in national donor networks. Second, electoral competition can help to explain when states that supply the parties' traditional financial bases of support will see more inflows of campaign funds from out of state. With the exception of MJ Hegar's campaign, the Senate candidates from these states still received close to or a clear majority of their funds from in-state donors.

¹⁴ "Nelson defeats McCollum in Florida", Democrats pick up Senate Seat. *CNN*, November 8, 2000. <https://edition.cnn.com/2000/ALLPOLITICS/stories/11/07/senate.florida/>.

¹⁵ Copel, Lib. "Campaign Gone South: Florida's Katherine Harris Continues Her Senate Race, Shedding Staff Along the Way." *Washington Post*, October 31, 2006. <https://www.washingtonpost.com/archive/lifestyle/2006/10/31/campaign-gone-south-span-classbankheadfloridas-katherine-harris-continues-her-senate-race-shedding-staff-along-the-wayspan/860446c6-ea67-4539-8735-1bae48b33a62/>.

¹⁶ Sabato, Larry. "Crystal Ball Senate Outlook." *University of Virginia Center for Politics*, October 26, 2006. <https://centerforpolitics.org/crystalball/articles/sen2006102001/>.

¹⁷ Sabato, Larry, Kyle Kondik, and Geogrey Skelley. "Project: Obama will likely win second term." *University of Virginia Center for Politics*, November 5, 2012. <https://centerforpolitics.org/crystalball/articles/projection-obama-will-likely-win-second-term/>.

3.2 New England

In Table 3, we report the share of out-of-state donations for each of the three senators under consideration in this section and their respective opponents over the four electoral contests between 2000 and 2020. The first section of Table 3 provides information on Senator Susan Collins’s share of out-of-state donations for her elections between 2002 and 2020. In 2002, Collins ran for a second term against Democratic state senator Chellie Pingree.¹⁸ Although the race was projected to be a likely Republican hold, both candidates were able to raise comparable amounts of money from out-of-state donors, 57.2 percent for Collins and 59.1 percent for Pingree.¹⁹ During the 2008 election, when Collins faced off against U.S. representative Tom Allen (D), nearly 69 percent of her campaign donations came from out-of-state donors compared to roughly 62 percent for Allen. While Collins would easily win re-election in 2014 over first-time Democratic candidate Shenna Bellows, she still raised roughly 69 percent of her campaign funds from outside of Maine. Bellows’ lack of political experience was reflected in her comparatively lower support from out-of-state donors, which accounted for roughly 46 percent of her donations.

After winning reelection with over 60 percent of the vote in 2008 and 2014, Collins found herself in a competitive and highly contentious electoral contest against Democratic Speaker of the Maine House of Representatives, Sara Gideon.²⁰

Table 3: Share of out-of-state donations for senators, new England.

Susan Collins (ME)			Jeanne Shaheen (NH)			Jack Reed (RI)		
Year	Own	Opponent	Year	Own	Opponent	Year	Own	Opponent
2002	57.2	59.1	2002	75.9	58.4	2002	69.1	—
2008	68.6	61.5	2008	78.7	77.3	2008	69.5	—
2014	68.6	46.0	2014	80.4	86.3	2014	58.5	50.8
2020	93.1	93.3	2020	78.5	87.4	2020	62.5	66.0

Note: Cell entries report the share of out-of-state donations for each senator by election year.

18 “Collins wins reelection in Maine.” *CNN*, November 6, 2002.cnn.com/2002/ALLPOLITICS/11/05/elec02.me.s.hotracer.

19 Sabato, Larry. “Crystal Ball Predictions: 2002 Midterm Elections.” https://web.archive.org/web/20021118115505/http://www.centerforpolitics.org/crystalball/senate_all.htm.

20 Sabato, Larry, Kyle Kondik, and J. Miles Coleman. “Final ratings for the 2020 election.” *University of Virginia Center for Politics* November2, 2020. <https://centerforpolitics.org/crystalball/articles/21320/>.

Both Collins and Gideon raised 93 percent of their donations from outside of Maine en route to breaking the state's fundraising and campaign spending records.²¹ The surge of donations from outside of Maine appeared to be driven by factors like Democrats' anger at Collins for voting to confirm Brett Kavanaugh to the Supreme Court and Republicans' hopes to keep control of the Senate.²² In this way, the Maine Senate contest became a proxy war for larger national political fights, with money flowing to Gideon in such large quantities than she had almost \$15 million in campaign funds left after Election Day.²³

The next three columns of Table 3 provide information on Senator Jeanne Shaheen's share of out-of-state donations for her elections between 2002 and 2020. In 2002, Democratic Governor Shaheen ran against Republican U.S. representative John E. Sununu, who had defeated the incumbent senator Robert Smith in the GOP primary, in a highly competitive open seat contest.²⁴ Both candidates raised a large share of money from donors outside of New Hampshire, with over 75 percent of Shaheen's donations and 58 percent of Sununu's donations coming from out-of-state donors. Although Shaheen lost in 2002, she ran against Sununu again in 2008 and defeated him by a close margin in a more favorable electoral environment.²⁵ The finances of the 2008 race were more evenly matched with Sununu raising 77.3 percent of his donations from individuals from out-of-state and Shaheen raising 78.7 percent from individuals outside of New Hampshire.²⁶ During the 2014 election, Shaheen was targeted by national Republicans and challenged by former Massachusetts U.S. Senator Scott Brown, who had moved to New Hampshire after losing his Senate seat in 2012. Both Shaheen and Brown attracted support from donors outside of New Hampshire and raised 80 and 86 percent of their individual donations, respectively, from out-of-state donors.

In 2020, Shaheen won a third term and easily defeated her Republican opponent, Bryant "Corky" Messner, who had never held elected office before and only moved to

21 Miller, Kevin. "Out-of-state donors fund advertising flood in Maine Senate campaign." *Portland Press Herald*, September 14, 2020. <https://www.pressherald.com/2020/09/13/out-of-state-donors-fund-advertising-flood-in-maine-senate-campaign/>.

22 Cover, Susan, Darren Fishell, and Meg Robbins. "How record sums of money have shaped Maine's 2020 elections." *Penobscot Bay Pilot*, October 25, 2020.

23 Ackley, Kate. "Gideon's conundrum: What to do with all that extra money." *Roll Call*, November 4, 2020. <https://rollcall.com/2020/12/04/gideons-conundrum-what-to-do-with-all-that-extra-money/>.

24 Belleck, Pam. "THE 2002 ELECTIONS: NEW HAMPSHIRE; Senate Seat Stays Republican As Sununu Defeats Governor." *New York Times*, November 6, 2002. <https://www.nytimes.com/2002/11/06/us/2002-elections-new-hampshire-senate-seat-stays-republican-sununu-defeats.html>.

25 Grim, Ryan. "Shaheen ousts Sununu." *Politico* November 4, 2008. <https://www.politico.com/story/2008/11/shaheen-ousts-sununu-015281>.

26 <https://www.opensecrets.org/races/summary?cycle=2008&id=NHS2>.

the state full time in 2018.²⁷ Although Messner was a political amateur, he was still able to raise millions of dollars, roughly 87 percent of his total from individual donors, from outside of New Hampshire. Messner's success in raising campaign funds from outside of the state comports with the idea that donors may be motivated to spend against certain candidates rather than to support a particular candidate. Despite being in the least competitive election of her Senate career, Shaheen raised almost 80 percent of her \$14 million in individual contributions from outside of the state.²⁸ While Messner was also dependent upon support from out-of-state sources, he attacked Shaheen for her success with out-of-state donors and his campaign manager, Mike Biundo, accused Shaheen of "accepting special interest help" from California.²⁹

The final three columns of Table 3 provide information on Senator Jack Reed's share of out-of-state donations for his elections between 2002 and 2020. Reed defeated the same Republican opponent, Robert Tingle, in both 2002 and 2008 by comfortable margins. Tingle raised less than \$5000 in both contests and therefore was not required to file reports with the FEC. Despite minimal electoral competition, Reed raised 69 of his funds from outside of Rhode Island in both 2002 and 2008. These elections were the peak of Reed's acceptance of out-of-state funds, as he received around 60 percent of his individual contributions from out-of-state donors in 2014 and 2020. Reed's Republican opponents in these elections, former Rhode Island Republican Party chair Mark Zaccaria and Allen Waters respectively, both raised less than \$100,000 and most of their donors resided outside of Rhode Island.

These three case studies provide preliminary evidence about the importance of state size to the reliance upon out-of-state donors. While other studies have posited a similar linkage (Keena 2019), our findings cover a larger time period and suggest that the share of out-of-state donors in these states still varies based upon competition and candidate backgrounds. Interestingly, these case studies also suggest that these smaller states are not subject to the overall trends evidenced in Figure 1 because they were already dependent upon out-of-state donations. Indeed, both Shaheen and Reed were no more dependent upon out-of-state funds in their last two elections than they were at the start of the 21st century.

27 Bookman, Todd. "Shaheen Secures Early Victory, Winning Third Senate Term Over Messner." *New Hampshire Public Radio*, November 4, 2020. <https://www.nhpr.org/politics/2020-11-04/shaheen-secures-early-victory-winning-third-senate-term-over-messner>.

28 <https://www.opensecrets.org/races/geography?cycle=2020&id=NHS2&spec=N>.

29 "Messner: 'Clean Elections' includes no California Money." *Associated Press*, September 14, 2020. <https://apnews.com/article/campaigns-jeanne-shaheen-california-elections-nh-state-wire-58377d5ec6d2f6b02ef351571a8b228e>.

4 Conclusions

During the 2022 midterm elections, no Senate contest better captured the importance of out-of-state funds for contemporary Senate elections than the race between incumbent Senator Raphael Warnock (D-GA) and his Republican opponent, Herschel Walker. According to preliminary estimates from the *Atlanta Journal-Constitution* in early 2022, Warnock had already raised 80 percent of his donations from outside of Georgia and Walker had secured over half of his funds from out-of-state donors.³⁰ One political consultant observed that these figures were a sign that “once again Georgia is the center of the political universe, which means we are a giant black hole sucking campaign dollars from throughout the nation, with dollar amounts incomprehensible to normal voters.”³¹ The influx of campaign cash into Georgia rose even higher as the race went to a runoff that would help to determine the size of the Democratic Senate majority. During the last month of the campaign, Warnock and Walker received 95 and 87 percent of their campaign funds, respectively, from donors residing outside of Georgia.³²

Our objective in this paper was to evaluate whether the Warnock and Walker campaigns are outliers or indicative of the new normal for Senate elections. While the Georgia race was exceptional in terms of the amount of money each candidate raised, our findings suggest that it was not unique when it comes to the role of out-of-state donors. On balance, most recent Senate campaigns have raised a majority of their funds from donors who reside outside of their state. These developments are, however, quite recent as 2018 was the first year where the modal Senate campaign raised more money from out-of-state than in-state individual donors.

In addition to a general increase over time in Senate candidates' reliance on out-of-state donations, there is variation in terms of who relies most heavily upon the support of a more national donor base. A Senate candidate's share of out-of-state donations varies based on electoral competition, incumbency, and candidate background. While we do not directly explore the role of candidate quality, our case studies provide some suggestive evidence of a potential “experience bonus” when it comes to raising funds from donors outside of a candidate's state. In addition to race-specific factors, there is also evidence that the role of out-of-state donors varies based on geographic factors like state population and a state's centrality in the national

³⁰ Bluestein, Greg. “National money fuels Georgia's top 2022 races.” *Atlanta Journal-Constitution*, February 28, 2022.

³¹ Bluestein, Greg. “Candidates in Georgia raise flood of money.” *Atlanta Journal-Constitution*, April 18, 2022.

³² Mitchell, Tia. “Out-of-state money still pouring into Georgia.” *Atlanta Journal-Constitution*, December 5, 2022.

political donor networks. There are also notable regional patterns; candidates in some areas of the country, like New England, have long raised large shares of their funds from outside of their state.

Lastly, the increase in out-of-state campaign contributions has important implications for congressional politics and elections. Given the observed correlation between candidate's ideological positioning and financial support (Ensley 2009), we might reasonably expect that ideologically extreme candidates have benefited the most from the developments we report. While it is beyond the scope of our current analysis, it would behoove scholars to explore the connection between candidate ideology and out-of-state donations. The rise of out-of-state donors also raises interesting questions about donors who seek surrogate representation (Baker 2020). Indeed, there is growing evidence that elected officials are more responsive to national donors than their own constituents (Barber 2016; Canes-Wrone and Miller 2022). It is therefore plausible that an increase in out-of-state donors could ultimately impact congressional responsiveness.

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